CHAPTER 7: ACCOUNTS RECEIVABLE

QUESTION 1

Hidayah Sdn. Bhd. (HSB) sells and distributes imported furnitures from Italy. Below is the information related to Accounts Receivable as of December 31, 2003.

Balances at December 31, 2003 in the receivable accounts (before bad debts is written off)	RM24,500
Total write-off at December 31, 2003	RM650

INSTRUCTIONS:

i. Prepare the journal entry to record the write-off, assuming that HSB uses the direct write-off method.

ii. Prepare journal entries to record the write-off and an adjusting entry for Allowance for Doubtful Accounts at the end of the year. Assuming that 2% of accounts receivable and balances in Allowance for Doubtful Accounts before write-off is RM450 if HSB uses the allowance method.

QUESTION 2

On December 31, 2004, Karimah Sdn. Bhd. (KSB) reported the following information on its balance sheet:

Balances in accounts receivable	RM 42,600
Allowance for Doubtful Accounts	RM 852

On December 31, 2005, the following selected transactions occured:

Sales (40% were by cash)	RM 255,000
Sales returns (for credit sales)	RM 4,200
Received payment from account receivable	RM 172,500
Write-offs of accounts receivable	RM 900

Additional information:
Allowances for Doubtful Accounts on December 31, 2005 is estimated to be 2% of the balances in accounts receivable.

Powered by CamScanner

INSTRUCTIONS:

i. Prepare the journal entry to record transactions occurred at December 31, 2005
ii. Determine the balances in Accounts Receivable and Allowance for Doubtful Accounts at December 31, 2005 by using T accounts.
iii. Prepare the journal entry to record adjustments related to Accounts Receivable on December 31, 2005.

QUESTION 3

Pudu Jaya Sdn. Bhd. (PJSB) operates activities selling and distributing imported furniture from Indonesia. Presented below is information related to accounts receivable taken from the trial balance on July 31, 2007:

	RM
Accounts Receivable	200,000
Allowance for Bad Debts	3,000

Presented below are the transactions of PJSB on July 31, 2007:
1. Mr. Halim has gone missing after owing PJSB for RM500.
2. On 2005, Mr. Latif pays RM1,000 for his bad debts.
3. Bad debts expense on July 31, 2007 is estimated to be 2% of accounts receivable

INSTRUCTIONS:

Prepare journal entry to record adjustment related to accounts receivable at July 31, 2007 by using allowance method.

QUESTION 4

At the beginning of the current year, Perniagaan Umar (PU) had an accounts receivable balance of RM775,000. The net sales on current year was RM 6,000,000.

Allowance for doubtful Accounts has a balance of RM 8,050 prior to adjustment. Credit sales on current year was 17% of net sales. Collections of accounts receivable RM650,000 and accounts receivable RM 17,500 was written off by using Allowance for Doubtful Accounts. At the end of the fiscal year, the allowance for Doubtful Accounts is estimated to be 2.5% of balances in Accounts Receivable.

INSTRUCTIONS:

i) Prepare bad debts expense accounts, accounts receivable (Ans: balance h/b RM 1,127,500) and Allowance for Doubtful Accounts (Ans: balance h/b RM 28,187.50) for Perniagaan Umar.

ii) Prepare the journal entry to write-off Accounts Receivable for this year.

Powered by CamScanner

QUESTION 5

Kemuning Enterprise (KE) operates selling and distributing school shoes around Selangor area. The following represents selected Statements of Financial Position on September 30, 2008:

	RM
Accounts Receivable	62,700
Allowance for Doubtful Accounts	1,254

During the year ended on September 30, 2009, the following selected transactions occurred.

1. Total sales of RM 468,900 (30% of it were cash sales)
2. KE collected RM 333,160 from debtor. This amount includes RM 2,400 deposit from Sekolah Kebangsaan Raja Laut for prefects' shoes order which needed to be delivered to the school on Jan 4, 2010.
3. In 2004, the shop lot of a customer who owes KE for RM1820 was burnt down and all the business inventory was destroyed. The balance was not paid and the management board has decided to write-off the debt of the year.
4. A customer returned merchandise worth RM 550.
5. Allowance for doubtful accounts ending on September 30, 2009 is estimated to be 3% of balances in accounts receivable.

INSTRUCTIONS:

i) Prepare accounts receivable and Allowance for Doubtful Accounts related to the transactions above.

Balances in Accounts Receivable: RM 57,800
Balances in Allowance for Doubtful Accounts: RM 1,734

ii) Prepare journal entry to record write-off accounts receivable for this year.

Powered by CamScanner

CHAPTER 9 : ACCOUNTING FOR NON CURRENT ASSETS

Question 1 [PSPM 2006/2007]

On July 31, 2005, Statement of Financial Position Majidee Sdn Bhd (MSB) shows the following information relating to fixed assets:

Fixed assets	Cost (RM)	Accumulated Depreciation (RM)
Vehicle	200,000	80,000
Office Equipment	64,000	6,400

Depreciation rate are as follow:

Fixed assets	Depreciation Rate	Depreciation Method
Vehicle	20%	Straight Line
Office Equipment	10%	Declining Balance

Depreciation charges are calculated on an annual basis in which the expense will be recognized in the year of purchase and no expense in the year of disposal.

These are the transactions on fixed assets for the year ended July 31, 2006.

Transaction	Cost (RM)	Date
Vechicle purchase	70,000	August 1, 2005
Office equipment purchase	20,000	September 15, 2005
Vehicle purchase	80,000	November 1, 2005
Office equipment purchase	5,000	January 1, 2006

On January 31, 2006 a vehicle purchased on 1 April 2003 priced at RM100,000 has been involved in a road accident and disposed on May 31, 2006, MSB has received compensation from the insurance company in relation to the accident RM25,000.

REQUIRED:

i) Prepare the following account for the year ending July 31 2006.
   a. Vehicles and office equipment account
   b. Accumulated depreciation for vehicle and office equipment.

ii) State differences between depreciation expensess and accumulated depreciation.

Powered by CamScanner

Question 2 [PSPM 2007/2008]

On June 30, 2006, balance sheet Pandan Indah Sdn Bhd (PISB) shows information related to fixed assets as follows:

Fixed assets	Cost (RM)	Accumulated Depreciation (RM)
Vehicle	80,000	37,250
Office equipment	50,000	17,000

These are the transactios regarding fixed assets during the year ending June 30, 2007.

Purchasing Date	Type of assets	Purchasing Cost
October 9, 2006	Van	RM85,000 include road tax and insurance RM2,500.
March 30, 2007	Photocopy machine	RM6,000 excluding instalation cost RM500.
April 25, 2007	Car	RM101,500 excluding road tax and insuranc RM3,500.
July 15, 2007	Facsimile machine	RM4,880.

Additional information:

1. All payment was made via cheque
2. Depreciation rates are as stated below:

Fixed assets	Depreciation Rate
Vehicle	20% per annum on the cost calculated on a monthly basis
Office equipment	10% per annum of the book value calculated on an annual basis

3. A computer is purchased on October 1, 2005, worth RM 5,500 was stolen on 25th December, 2006. The depreciation expense recognized in the year of purchase and no expense in the year of disposal.

REQUIRED:

i) Prepare fixed asset account and accumulated depreciation account for each asset in the year ended June 30, 2007.

ii) Prepare PISB Balance Sheet (non curent assets section) for year ended June 30, 2007.

Powered by CamScanner

Question 3 [PSPM 2008/2009]

Tangga Batu Bhd (TBB) was given their fixed asset information as at December 31, 2006 :

Fixed Assets	Cost (RM)	Accumulated Depreciation (RM)
Land	2,500,000	-
Buildings	13,275,000	1,062,000
Equipments	26,500,000	10,600,000

These are the following transactions regarding fixed assets for the year 2007 :

3 Mar.	Building renovations has been made at cost RM450,000. These buildings were purchased on February 1, 2006.
1 Apr.	Equipment purchasing involved this following expenditures : cash price RM50,000, transportations RM45,000, insurance during transit RM800, installations cost RM1,200 dan testing cost RM200.
1 July	Company decided to dispose its broken equipment which cost RM40,000. This equipment was purchased on July 1, 2002.

Additional informations :

1. The depreciations are calculated using the straight-line method. The depreciation rate for buildings are 2% and equipments 10% per annum.
2. The depreciations are recorded in the year of purchase and not recorded in the year of dispose.

REQUIRED:

Prepared the Buildings account, the Equipments account and the Accumulated Depreciations account for all the transactions above.

Question 4 [PSPM 2009/2010]

These are informations regarding Hospital Mesra (HM) fixed assets :

Assets	Purchasing Date	Cost (RM)	Useful life (years)	Scrap value (RM)	Depreciation Method
Dialysis Machines	January 1, 2003	600,000	5	0	Straight-line
Ambulance	October 1, 2003	250,000	5	20,000	Straight-line
Laser Surgery Equipments	June 1, 2006	640,000	5	40,000	Unit-of-activity
Scanner Images Equipments	January 1, 2006	630,000	5	90,000	Straight-line

Powered by CamScanner

These are the following transaction of fixed assets occurred during the year ended December 31, 2008:

January 1	Dialysis Machines sold at a price of RM60,000
January 12	Purchasing lab equipment at a price of RM600,000. Other costs involved are transportation costs RM11,000; installation and wiring RM22,000; testing RM7,000 and RM14,000 fire insurance policy. This equipment has an estimated scrap values RM50,000 and useful life of 8 years. Depreciation rate are 27% per annum
September 30	Trade in old scanner images equipment with a new scanner images equipment for RM180,000. The fair value of old scanner images equipment are RM270,000.

Additional Informations :

1. HM using the declining-balance method for calculating depreciation of lab equipment.
2. HM estimating that laser surgery equipment can be used for 10,000 hours during the its useful life. In 2008, it has been used for 2,400 hours.
3. The depreciation are recorded full in the year of purchase and not recorded in the year of dispose.

REQUIRED :

i) Prepare the journal entries to record transactions during the year 2008. (description omitted). [9m]

ii) Prepare the journal entries to record adjustment of depreciation expense in 2008. (description omitted) [6m]

Question 5 [PSPM 2010/2011]

On January 1, 2009, Julie Enterprise has an equipment at cost RM135,620 and RM81,374 accumulated depreciation.

In 2009, Julie Enterprise purchase new equipment at a cost of RM47,800 by selling old equipment (original cost RM36,000 and accumulated depreciation RM28,224) at fair value (trade-in allowances) RM5,700.

Equipment is depreciated at 40% using the declining -balance method. Depreciation will be charged on all equipment used at the end of the financial year and depreciation on assets disposed will not be charged in the year of disposal.

Julie Enterprise financial year ended on December 31, 2009.

REQUIRED :

i) Show the calculations and provide the journal entries to record the purchase of new equipment and the sale of old equipment. What is the profit or loss of the trade in. [7m]

ii) Calculate the equipment depreciation expense and journal entries to record depreciation expense in 2009. [4m]

iii) Give four (4) method of calculating non-current asset depreciation expense. [4m]

Powered by CamScanner

Question 6 [PSPM 2011/2012]

On 1st April 2011 , Hanz Sdn . Bhd . (HSB) has purchased new equipment RM285,000. HSB received RM70,000 as an allowance for trade-in of old equipment of the same type and pay in cash. The following information relating to old equipment : cost RM183,500 ; on December 31, 2010, RM96,000 accumulated depreciation; RM12,000 annual depreciation . Depreciation is recorded full in the month of purchase and not recorded in the month of dispose.

REQUIRED :

i. Prepare the journal entries to record current depreciation expenses for old equipment until trade in transaction.

ii. Prepare journal entries to record the purchase of new equipment on 1st April 2011 .

iii. State two (2) accounting concepts used in the above transactions

Question 7 [PSPM 2012/2013]

Mr. Q, owners of Perniagaan Amarul (PA) has decided to change the old food-processing machines to the new machine to meet the high demand. The following information is related to the transactions.

Detail	Model Samson(Old)	Model Samlan(New)
Cost	RM125,000	RM150,000
Date of possession	May 1, 2007	July 5, 2012
Residual value	RM5,000	RM3,000
Useful live	10 years	8 years

Additional information:

1. Supplier Model Samlan have agreed to receive Samson Model with receiving RM5,000 cash as trade in allowances.
2. Depreciation expense is set to calculate in accordance during the month of acquisition and not in the month of disposal.
3. PA accounting period ending on 31st December.

REQUIRED :

i. Prepare journal entries to record the purchase of Model Samlan on July 5, 2012. (description omitted). [8m]

ii. Prepare journal entries to record depreciation expense for the year 2012. (description omitted). [2m]

Powered by CamScanner

CHAPTER 7 : ACCOUNTS RECEIVABLES

QUESTION 1

ANSWER

(i)

Date	Account Titles And Explanation	Debit (RM)	Credit (RM)
2003 Dec 31	Dt. Bad Debts Expense Kt. Accounts Receivable (to record write-off of HSB account)	650	650

(ii)

Date	Account Titles And Explanation	Debit (RM)	Credit (RM)
2003 Dec 31	Dt. Allowance for Doubtful Accounts Kt. Accounts Receivable (to record write-off HSB account))	650	650
2003 Dec 31	Dt. Bad Debts Expense Kt. Allowance for Doubtful Accounts (to record estimated bad debts for year)	677	677

CALCULATION

Accounts Receivable (AR)

2003	RM	2003	RM
Bal Jan. 1	24,500	AFDA	650
		Bal dec.31	23,850
	24,500		24,500

2% x 23,850 = 477 ← Bal dec.31 AFDA

Allowance for Doubtful Accounts (AFDA)

2003		2003	
AR	650	Bal Jan. 1	450
Bal dec.31	477	BDE	677
	1,127		1,127

Write-off AR ***(allowance write-off)*** ←

Powered by CamScanner

QUESTION 2

(i)

Date	Account Titles And Explanation	Debit (RM)	Credit (RM)
2005 Dec. 31	Dt. Accounts Receivable Kt. Sales Revenue (to record sale of merchandise)	153,000	153,000
	Dt. Sales return & allowances Kt. Accounts Receivable (to record credit granted for returned goods)	4,200	4,200
	Dt. Cash Kt. Accounts Receivable (to record collection from KSB)	172,500	172,500
	Dt. Allowance for doubtful Account Kt. Accounts Receivable (to record write-off KSB account)	900	900

(ii)

Accounts Receivable

2005	RM	2005	RM
Bal Jan. 1	42,600	SR&A	4,200
Sales revenue (60%)	153,000	Cash	172,500
		AFDA	900
		Bal Dec. 31	18,000
	195,600		195,600

2% x 18,000 = 360 ← Bal. Dec.31 AFDA

Allowance for Doubtful Accounts

Write-off AR *(allowance write-off)* ←

2005		2005	
AR	900	Bal Jan. 1	852
Bal Dec. 31	360	BDE	408
	1,260		1,260

Powered by CamScanner

(iii)

Tarikh	Account Titles And Explanation	Debit (RM)	Credit (RM)
2005 Dec 31	Dt. Bad Debts Expense Kt. Allowance for Doubtful Accounts (to record estimated bad debts for year)	408	408

QUESTION 3

Date	Account Titles And Explanation	Debit (RM)	Credit (RM)
2007 July 31	Dt. Allowance for Doubtful Accounts Kt. Accounts Receivable (to record write-off KSB account)	500	500
2007 July 31	Dt. Accounts Receivable Kt. Allowance for Doubtful Accounts (to reverse write-off of PJSB account)	1,000	1,000
	Dt. Cash Kt. Accounts Receivable (to record collection from PJSB)	1,000	1,000
2007 July 31	Dt. Bad Debts Expense Kt. Allowance for Doubtful Accounts (to record estimated bad debts for year)	1,490	1,490

Powered by CamScanner

CALCULATION

Accounts Receivable (AR)

2007	RM	2007	RM
Bal Aug. 1	200,000	AFDA	500
AFDA	1,000	Cash	1,000
		Bal July 31	199,500
	201,000		201,000

Bal July 31 AF

2% x 199,500 = 3,990

Allowance for Doubtful Accounts (AFDA)

Write-off AR *(allowance write-off)*

2007		2007	
AR	500	Bal Aug. 1	3,000
Bal July 31	3,990	BDE	1,490
	4,490		4,490

QUESTION 4

Accounts Receivable (AR)

	RM		RM
Bal Jan. 1	775,000	Cash	650,000
Sales Revenue	1,020,000	AFDA	17,500
		Bal Dec. 31	1,127,500
17% x 6,000,000	1,795,000		1,795,000

Bal Dec. 31 A

2.5% x 1,127,500 = 28,187.50

Allowance for Doubtful Accounts (AFDA)

Write-off AR *(allowance write-off)*

	RM		RM
AR	17,500	Bal Jan. 1	8,050
Bal Dec. 31	28,187.50	BDE	37,637.50
	3,554		3,554

Bad Debts Expense (BDE)

	RM		RM
AFDA	37,637.50	Financial Statements	37,637.50
	37,637.50		37,637.50

Powered by CamScanner

QUESTION 5

(i)

Accounts Receivable (AR)

	RM		RM
b/d Bal Oct. 1	62,700	Cash /Bank (RM333,160 – RM2,400)	330,760
Sales Revenue	328,230	AFDA	1,820
		Sales return & Allowance	550
		Bal Sept. 30 c/d	57,800
	390,930		390,930

Bal Sept.30 AFDA

3% x 57,800 = 1,734

Allowance for Doubtful Accounts (AFDA)

Write-off AR *(allowance write-off)*

	RM		RM
RA ② A/R	1,820	b/d Bal Oct. 1	1,254
Bal Sept. 30	1,734	BDE	2,300
	3,554		3,554

(ii)

Date	Account Titles And Explanation	Debit (RM)	Credit (RM)
2009 Sept 30	Dt. Allowance for Doubtful Accounts Kt. Accounts Receivable (to record write-off KE account)	1,820	1,820

Powered by CamScanner

QUESTION 1 (PSPM 2006/2007)

i) a.

Vehicle Account

Date	Particular	RM	Date	Particular	RM
2005			2006		
Aug 1	Bal b/f	200,000	Jan 31	Disposal	100,000
	Bank	70,000	Jul 31	Bal b/d	250,000
Nov 1	Bank	80,000			
		350,000			350,000

Office Equipment Account

Date	Particular	RM	Date	Particular	RM
2005			2006		
Aug 1	Bal b/f	64,000	Jul 31	Bal b/d	89,000
Sept 15	Bank	20,000			
2006					
Jan 1	Cash	5,000			
		89,000			89,000

b.

Vehicle Accumulated Depreciation Account

Date	Particular	RM	Date	Particular	RM
2006			2005		
Jan 31	Disposal	60,000	Aug 1	Bal b/f	80,000
Jul 31	Bal b/d	70,000	2006		
			Jul 31	Depreciation Expenses	50,000
		350,000			130,000

Office Equipment Accumulated Depreciation Account

Date	Particular	RM	Date	Particular	RM
2006			2005		
Jul 31	Bal b/d	14,660	Aug 1	Bal b/f	6,400
			2006		
			Jul 31	Depreciation Expenses	8,260
		14,660			14,660

ii) Different between depreciation expenses and accumulated depreciation:

- Depreciation are expenses incurred in current accounting period.
- Accumulated depreciation is the amount of depreciation on fixed assets during it's useful life.

Powered by CamScanner

QUESTION 2 (PSPM 2007/2008)

i)

Vehicle Account

Date	Particular	RM	Date	Particular	RM
2006			2007		
Jul 1	Baki b/f	80,000	Jun 30	Bal b/d	264,000
Oct 9	Bank	82,500			
2007					
Apr 25	Bank	101,500			
		264,000			264,000

Office Equipment Account

Date	Particular	RM	Date	Particular	RM
2006			2006		
Jul 1	Bal b/f	50,000	Dec 25	Disposal	5,500
2007			2007		
Mac 30	Bank	6,500	Jun 30	Bal b/d	51,000
		56,500			56,500

Vehicle Accumulated Depreciation Account

Date	Particular	RM	Date	Particular	RM
2007			2006		
Jun 30	Bal b/d	69,008	Jul 1	Bal b/f	37,250
			2007		
			Jun 30	Depreciation expenses	31,758
		69,008			69,008

Office Equipment Accumulated Depreciation Account

Date	Particular	RM	Date	Particular	RM
2006			2006		
Dec 25	Disposal	550	Jul 1	Bal b/f	17,000
2007			2007		
Jun 30	Bal b/d	19,905	Jun 30	Depreciation expenses	3,455
		20,455			20,455

* Vehicle Depreciation Expenses calculation
  = [80,000 x 20%] + [82,500 x 20% x9/12] +[101,500 x 20% x 2/12]
  = 16,000 + 12,375 + 3,383
  = RM31,758.
* Depreciation calculation (for disposal office equipment) = 5,500 x 10% = RM550
* Office Equipment Depreciation calculation = [51,000 – (17,000 -550)] x 10% = RM3,455.

ii)

PISB Balance Sheet at 30 Jun 2007 (Non current asset section)

		RM	RM	
Non current assets				
Vehicle	264,000			
- Vehicle accumulated depreciation	69,008	194,992		
Office Equipment	51,000			
- Office Equipment accumulated depreciation	19,905	31,095	226,087	[2m]

Powered by CamScanner

QUESTION 3 (PSPM 2008/2009)

Buildings

Date	Particulars	RM	Date	Particulars	RM
2007			2007		
Jan 1	Bal b/f	13,275,000	Dec 31	Bal b/d	13,725,000
Mac 3	Bank	450,000			
		13,725,000			13,725,000

Equipments

Date	Particulars	RM	Date	Particulars	RM
2007			2007		
Jan 1	Bal b/f	26,500,000	Jul 1	Disposal	40,000
Apr 1	Bank	97,200		Baki b/d	26,557,200
		26,597,200			26,597,200

Equipments Cost = 50,000 + 45,000 + 800 + 1,200 + 200 = 97,200

Accumulated Depreciations - Buildings

Date	Particulars	RM	Date	Particulars	RM
2007		1,336,500	2007		
Dec 31	Bal b/f		Jan 1	Bal b/d	1,062,000
			Dec 31	Depreciations	274,500
		1,336,500			1,336,500

Depreciations = 13,725,000 x 2% = 274,000

Accumulated Depreciations - Equipments

Date	Particulars	RM	Date	Particulars	RM
2007			2007		
Jul 1	Disposal	20,000	Jan 1	Bal b/f	10,600,000
Dec 31	Bal b/d	13,235,720	Dec 31	Depreciations	2,655,720
		13,255,720			13,255,720

Depreciation for Disposal = 40,000 x 10% x 5 = 20,000 ,
Depreciations = 26,557,200 x 10% = 2,655,720

Powered by CamScanner

QUESTION 4 (PSPM 2009/2010)

i) Journal Entries :

General Journal

Date	Particulars	Debit (RM)	Credit (R
2008 Jan 1	Cash / Bank Accumulated Depreciation- Machines [600,000 / 5 x 5 years] Dialysis Machine Gain on Disposal	60,000 600,000	 600,0 60,00
Jan 12	Equipments* Prepaid Insurance Cash / Bank	640,000 14,000	 654,0
Sept 30	Scanner Images equipment (New)# Accumulated Depreciation- – Scanner Images equipment @ Loss of Disposal^ Cash Scanner Images equipment (old)	450,000 216,000 144,000	 180,0 630,0

Calculations :

* Equipments Cost = Cash price + transportation + installations + testing
= 600,000 + 11,000 + 22,000 + 7,000 = 640,000.

\# New Equipment Cost = cash paid + pair value (Exchange Allowance)
= 180,000 + 270,000 = 450,000

@ Accumulated Depreciations = [(630,000 – 90,000) / 5] x 2 years

^ Loss on disposal= Fair Value (Exchange Allowance) – Net book value
= 270,000 – [630,000 – 216,000] = -144,000

ii) Adjustment Journal Entries :

General Journal

Date	Particulars	Debit (RM)	Credit(R
2008 Dec 31	Depreciations - Ambulance Accumulated Depreciations - Ambulance [(250,000-50,000)/5]	46,000	 46,000
	Depreciations – Laser Surgery Equipments Accumulated Depreciations - Laser Surgery Equipments [(2,400 / 10,000) x (640,000-40,000)]	144,000	 144,00
	Depreciations – Lab Equipments Accumulated Depreciations Lab Equipments [640,000 x 27%]	172,800	 172,8
	Depreciations – Scanner Images Equipment Accumulated Depreciations - Scanner Images Equipment [(450,000-90,000)/5]	72,000	 72,00

Powered by CamScanner

QUESTION 5 (PSPM 2010/2011)

i. Gain/loss = Trade in allowances – book value
= 5,700 – (36,000 – 28,224)
= - RM2,076. (loss)

Cash paid = 47,800 (cost) – 5,700 (trade in allowances)
= RM42,100

Date	Particulars	Debit (RM)	Credit (RM)
2009	Accumulate depreciation –equipment	28,224	
	Equipment(new)	47,800	
	Loss on disposal	2,076	
	Equipment (old)		36,000
	Cash		42,100

ii. Depreciation expense = (equipment – accumulate depreciation) x 40%
= [(135,620 + 47,800 – 36,000) – (81,374- 28,224)] x 40%
= 94,270 x 40%
= RM37,708.

Date	Particulars	Debit (RM)	Credit (RM)
2009	Equipment depreciation expense	37,708	
	Accumulate depreciation–Equipment		37,708

iii. Four methods of calculating depreciation expense of fixed assets:
1) Straight line method
2) Declining balance method
3) Units of activity
4) Sum- of-the- year digits method

QUESTION 6 (PSPM 2011/2012)

i. Journal Entries :

Date	Particulars	Debit(RM)	Credit(RM)
2011			
Apr 1	Equipment depreciation expense (12,000 x 3/12)	3,000	
	Accumulate depreciation – equipment		3,000
	(To record depreciation expense of old equipment)		

ii. Journal entries:

Date	Particulars	Debit(RM)	Credit (RM)
2011	Accumulate depreciation –equipment	99,000	
Apr 1	Equipment (new)	285,000	
	Loss on trading	14,500	
	Equipment (old)		183,500
	Cash		215,000
	(To record trading of equipment and loss on exchange)		

Calculation ; Accumulate depreciation = 96,000 + 3,000 = RM99,000.
Cash paid = Cost(285,000) –Trade in allowance (70,000) = RM215,000
Book value = Cost (183,500) –Accumulate Depreciation (99,000)
= RM84,500.
Gain/loss on disposal = Trade in allowance (70,000) – BV (84,500)
= RM14,500.

Powered by CamScanner

QUESTION 7 (PSPM 2012/2013)

i. Journal entries

Date	Particulars	Debit (RM)	Credit (RM)
2012			
Jul 5	Accumulate depreciation –machine (Samson)	62,000	
	Machine (new - Samlan)	150,000	
	Machine (old- Samson)		125,000
	Cash		5,000
	Gain on disposal		82,000

Calculation ; Annual depreciation for old machine = (125,000-5,000) / 10 = RM12,000.
Accumulate depreciation = (12,000 x8/12) + (12,000 x 4) + (12,000 x 6/12)
= 8,000 + 48,000 + 6,000
= RM62,000.
Book value = Kos (125,000) – SNT (62,000) = RM63,000.
Gain/loss on disposal = TIA (150,000 -5000) – BV (63,000)
= 145,000 – 63,000 = RM82,000.

ii. Journal entries

Date	Particulars	Debit (RM)	Credit (RM)
2012	Machine depreciation espenses	8,750	
Dis 31	Accumulate depreciation –machine		8,750
	[(150,000-10,000) /8] x 6/12		

Powered by CamScanner